

17-3b Controversies over Antitrust Policy

The question of what kinds of behavior the antitrust laws should prohibit is often controversial. Most commentators agree that price-fixing agreements among competing firms should be illegal. Yet the antitrust laws have been used to condemn some business practices whose effects are not obvious. Here we consider three examples.

Resale Price Maintenance

One example of a controversial business practice is *resale price maintenance*. Imagine that Superduper Electronics sells streaming media players to retail stores for \$50. If Superduper requires the retailers to charge customers \$75, it is said to engage in resale price maintenance. Any retailer that charged less than \$75 would violate its contract with Superduper.

At first, resale price maintenance might seem anticompetitive and, therefore, detrimental to society. Like an agreement among cartel members, it prevents the retailers from competing on price. For this reason, the courts have at times viewed resale price maintenance as a violation of the antitrust laws.

Yet some economists defend resale price maintenance on two grounds. First, they deny that it is aimed at reducing competition. If Superduper Electronics wanted to exert its market power, it would do so by raising the wholesale price rather than controlling the resale price. Moreover, Superduper has no incentive to discourage competition among its retailers. Indeed, because a cartel of retailers sells less than a group of competitive retailers, Superduper would be worse off if its retailers were a cartel.

Second, economists believe that resale price maintenance has a legitimate goal. Superduper may want its retailers to provide customers a pleasant showroom and a knowledgeable sales force. Yet, without resale price maintenance, some customers would take advantage of one store's service to learn about the streaming media player's special features and then buy the item at a discount retailer that does not provide this service. Good customer service can be viewed as a public good among the retailers that sell Superduper products. As we discussed in [Chapter 11](#), when one person provides a public good, others are able to enjoy it without paying for it. In this case, discount retailers would free ride on the service provided by other retailers, leading to less service than is desirable. Resale price maintenance is one way for Superduper to solve this free-rider problem.

The example of resale price maintenance illustrates an important principle: *Business practices that appear to reduce competition may in fact have legitimate purposes*. This principle makes the application of the antitrust laws all the more difficult. The economists, lawyers, and judges in charge of enforcing these laws must determine what kinds of

behavior actually impede competition and reduce economic well-being. Often that job is not easy.

Predatory Pricing

Firms with market power normally use that power to raise prices above the competitive level. But should policymakers ever be concerned that firms with market power might charge prices that are too low? This question is at the heart of a second debate over antitrust policy.

Imagine that a large airline, call it Coyote Air, has a monopoly on some route. Then Roadrunner Express enters and takes **20** percent of the market, leaving Coyote with **80** percent. In response to this competition, Coyote starts slashing its fares. Some antitrust analysts argue that Coyote's move could be anticompetitive: The price cuts may be intended to drive Roadrunner out of the market so Coyote can recapture its monopoly and raise prices again. Such behavior is called *predatory pricing*.

Although predatory pricing is a common claim in antitrust suits, some economists are skeptical of this argument and believe that predatory pricing is rarely, if ever, a profitable business strategy. Why? For a price war to drive out a rival, prices have to be driven below cost. Yet if Coyote starts selling cheap tickets at a loss, it had better be ready to fly more planes, because low fares will attract more customers. Roadrunner, meanwhile, can respond to Coyote's predatory move by cutting back on flights. As a result, Coyote ends up bearing more than **80** percent of the losses, putting Roadrunner in a good position to survive the price war. As in the old Roadrunner–Coyote cartoons, the predator suffers more than the prey.

Economists continue to debate whether predatory pricing should concern antitrust policymakers. Various questions remain unresolved. Is predatory pricing ever a profitable business strategy? If so, when? Are the courts capable of telling which price cuts are competitive and thus good for consumers and which are predatory? There are no simple answers.

Tying

A third example of a controversial business practice is *tying*. Suppose that Makemoney Movies produces two new films—*Superheroes* and *Hamlet*. If Makemoney offers theaters the two films together at a single price, rather than separately, the studio is said to be tying its two products.

When the practice of tying movies was challenged, the Supreme Court banned it. The court reasoned as follows: Imagine that *Superheroes* is a blockbuster and *Hamlet* is an unprofitable art film. Then the studio could use the high demand for *Superheroes* to force theaters to buy *Hamlet*. It seemed that the studio could use tying as a mechanism for expanding its market power.

Many economists are skeptical of this argument. Imagine that theaters are willing to pay \$20,000 for *Superheroes* and nothing for *Hamlet*. Then the most that a theater would pay for the two movies together is \$20,000—the same as it would pay for *Superheroes* by itself. Forcing the theater to accept a worthless movie as part of the deal does not increase the theater's willingness to pay. Makemoney cannot increase its market power simply by bundling the two movies together.

Why, then, does tying exist? One possibility is that it is a form of price discrimination. Suppose there are two theaters. City Theater is willing to pay \$15,000 for *Superheroes* and \$5,000 for *Hamlet*. Country Theater is just the opposite: It is willing to pay \$5,000 for *Superheroes* and \$15,000 for *Hamlet*. If Makemoney charges separate prices for the two films, its best strategy is to charge \$15,000 for each film, and each theater chooses to show only one film. Yet if Makemoney offers the two movies as a bundle, it can charge each theater \$20,000 for the movies. Thus, if different theaters value the films differently, tying may allow the studio to increase profit by charging a combined price closer to the buyers' total willingness to pay.

Tying remains a controversial business practice. The Supreme Court's argument that tying allows a firm to extend its market power to other goods is not well founded, at least in its simplest form. Yet economists have proposed more elaborate theories for how tying can impede competition. Given our current economic knowledge, it is unclear whether tying is adverse for society as a whole.

Case Study: The Microsoft Case

A particularly important and controversial antitrust case was the U.S. government's suit against the Microsoft Corporation, filed in 1998. The case certainly did not lack drama. It pitted one of the world's richest men (Bill Gates) against one of the world's most powerful regulatory agencies (the U.S. Justice Department). Testifying for the government was a prominent economist (MIT professor Franklin Fisher). Testifying for Microsoft was another prominent economist (MIT professor Richard Schmalensee, a former student of Franklin Fisher). At stake was the future of one of the world's most valuable companies (Microsoft) in one of the economy's fastest-growing industries (computer software).

A central issue in the Microsoft case involved tying—in particular, whether Microsoft should be allowed to integrate its Internet Explorer browser into its Windows operating system. The government claimed that Microsoft was bundling these two products together to extend its power in the market for operating systems to the unrelated market of Internet browsers. Allowing Microsoft to incorporate such products into its operating system, the government argued, would deter other software companies from entering the market and offering new products.

Microsoft responded by pointing out that putting new features into old products is a natural part of technological progress. Cars today include CD players and air conditioners, which were once sold separately, and cameras come with built-in flashes. The same is true with operating systems. Over time, Microsoft has added many features to Windows that were

previously stand-alone products. This has made computers more reliable and easier to use because consumers can be confident that the pieces work together. The integration of Internet technology, Microsoft argued, was the natural next step.

One point of disagreement concerned the extent of Microsoft's market power. Noting that more than **80** percent of new personal computers used a Microsoft operating system, the government argued that the company had substantial monopoly power, which it was trying to expand. Microsoft replied that the software market is always changing and that Microsoft's Windows was constantly being challenged by competitors, such as the Apple Mac and Linux operating systems. It also argued that the low price it charged for Windows—about **\$50**, or only **3** percent of the price of a typical computer—was evidence that its market power was severely limited.

Like many large antitrust suits, the Microsoft case became a legal morass. In November 1999, after a long trial, Judge Penfield Jackson ruled that Microsoft had great monopoly power and that it had illegally abused that power. In June 2000, after hearings on possible remedies, he ordered that Microsoft be broken up into two companies—one that sold the operating system and one that sold applications software. A year later, an appeals court overturned Jackson's breakup order and handed the case to a new judge. In September 2001, the Justice Department announced that it no longer sought a breakup of the company and wanted to settle the case quickly.

A settlement was finally reached in November 2002. Microsoft accepted some restrictions on its business practices, and the government accepted that a browser would remain part of the Windows operating system. But the settlement did not end Microsoft's antitrust troubles. In subsequent years, the company contended with several private antitrust suits, as well as suits brought by the European Union alleging a variety of anticompetitive behaviors.

“Me? A monopolist? Now just wait a minute . . .”

7. The antitrust laws aim to

- a. facilitate cooperation among firms in oligopolistic industries.
- b. encourage mergers to take advantage of economies of scale.
- c. discourage firms from moving production facilities overseas.
- d. prevent firms from acting in ways that reduce competition.

8. Antitrust enforcement is controversial mainly because

- a. cooperative domestic firms are best equipped to deal with international competitors.
- b. some business practices that seem anticompetitive may in fact have legitimate purposes.
- c. excessive competition can drive some firms out of business, causing job losses.
- d. vigorous enforcement can reduce business profitability, lowering shareholder value.